reduced availability of risk capital. This hampers investment and yields a business cycle downturn.

The fear that is on the minds of decision makers comes in two kinds. A person may feel sceptical about the future of the economy. Or, a person may feel fear at a personal level, and consequently resort to risk-averse strategies. Such fears at a personal level include possibilities of job loss, firm closure, and investigations.

In addressing a macroeconomic/financial crisis, the main objective of policymakers is to address and reverse this contagious fear.

The three big downturns of recent decades

In the Indian experience of recent decades, we see three big downturns.

The late 1980s. Difficulties from the late 1980s onward led up to a balance of payments crisis, and an IMF programme, in 1991. Alongside this, we got a collapse of the BSE in 1992.

The late 1990s. The investment boom of the mid-1990s petered out with a succession of shocks: the 1997 Asian crisis, RBI's 200 basis points interest rate hike in 1998, India's nuclear tests in May 1998, the dot-com crash in the US in March 2000, and then the 9/11 attacks. Alongside this, we got the Ketan Parekh scandal, the collapse of the Calcutta Stock Exchange, the UTI crisis (July 2001) and distress at the development finance institutions (Industrial Development Bank of India [IDBI] and Industrial Finance Corporation of India [IFCI]).

From 2008 onward. The investment boom of the early years of the twenty-first century petered out with the 2008 crisis in the US, and the Mumbai attacks. Alongside this, we got the Satyam scandal (January 2009). From 2011 onward, this morphed into a problem of credit quality in a significant proportion of financial and non-financial firms. Loose fiscal policy was used to combat the problems of 2008–09, but turned into a fiscal/currency crisis in 2012–13. The data shows a turning point in 2011.